VPS Lakeshore Hospital

Process and control transformation review

April 2026

kpmg.com/in

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01 About KPMG

KPMG at a Glance

Established in **1993 in India**

Offices across **16** cities in India

Team of over **20,000** employees led by over **600** Partners & Directors

Sector alignment

- Large client base spanning Indian businesses, multinationals and listed companies in India across sectors
- Our professionals are aligned by industry sectors
- Leaders in IFRS and international reporting
- Strong focus on firm and personal independence

Key highlights of the practice:

At the forefront in providing professional services to Indian and multinational clients

Strong sector expertise extends to Retail, FMCG, Hospitality, Industrial Markets, Healthcare, Life Sciences and Technology

Our strong local base presents a powerful proposition:

- Presence of industry experts
- Leaders in International reporting
- Experience of handling large client base in Retail sector
- Deep experience in working with multi-location and multi-brand clients

We are working with the Government of India (GoI) on all 7 key national priorities

- Make in India
- Swacch Bharat
- Ease of Doing Business
- Digital India
- Smart Cities
- Skill India
- Start Up India

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Overview of KPMG GRCS

People

- **40+** Partners and Directors and over **1000+** professionals, across India offices.
- **Diverse mix** of CAs, MBAs, CIAs, CISAs, MCAs, LLBs, engineers, company secretaries and Six Sigma experts
- **Extensive experience** in machine learning, rule-based analytics and business intelligence tools and ERP systems
- Nearly 36 per cent of our people in India have a **total experience of > 5 years**

Structure

- The team is aligned to **10 identified focus sectors**
- Mandatory functional/ sectoral **SME expertise**
- **Centre of excellence** for legal compliance, data analytics and emerging technologies, and knowledge management
- Robust **quality control** process
- **Dedicated delivery center** for standardized and consistent delivery of services..

Tools & Technology

- **Data analytics integrated and digitized internal audit approach** through all phases
- Enabled **through 400 and more sector** specific pre-programmed scripts and KPIs
- Some of our **key tools** are:
  - Process and risk monitoring, Control self assessment, Process and risk information management engine, Source, compliance Tool

Robotics, data analytics and automation

Client-centric

SME expertise

Global outlook

Innovation

Value-addition

Digitization

100%
team trained on data analytics & emerging technologies

2nd
largest practice globally by headcount

900+
clients worked with annually; several associated for 5 yrs+

30%+
team members have worked in multiple geographies across 50 countries

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02 Setting the Context

Setting the Context

VPS Lakeshore Hospital is looking for a reputed audit and advisory firm to conduct a **Rapid Operations & Internal Controls Review (ROICR)** along with review on IFC as envisaged by Companies Act— a structured engagement to
(a) independently assess the controls, accounting systems, and data governance environment across the three domains,
(b) implement corrective measures and establish sound operating procedures, and
(c) leave the organization with a strengthened controls framework and reliable management data.

Note: This is not a statutory audit or audit of financial statements; it is an operational improvement and controls implementation engagement .

We understand your requirements and will work together to achieve these objectives:

1. Hand picked team with the extensive experience of listed hospital entities
2. Process review across the 5 domains- Stores & Inventory, Human Resource and Cost Accounting, revenue and receivables, data and controls
3. Review of IFC template and SOPs for the 5 domains
4. Implementing remediation for the identified gaps and providing trainings sessions to the employees

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Summary of KPMG's value proposition

The right team on the job

- **Local office in Kochi**
- **Resources having hospital experience and fluent in local language**
- Keen to partner with a long-term vision built on trust to deliver sustainable results

Sector expertise

- Review of multiple hospitals clients across India
- **Dedicated Partner & Manager group with hospital audit experience**
- SME support available as per requirement

Providing regular updates

- **Weekly cadence call with the management** to discuss on the progress of the engagement
- Timely escalation in case of non receipt/delay in receipt of data to the management identified SPOCs

Value beyond assurance

- Track record of identifying cost-saving opportunities, red flags, revenue leakages and providing practical recommendations
- Great return on investment

Innovative & Agile

- Driving excellence through use of automation for reviews
- Agile & flexible for enhanced coverage beyond traditional areas

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03 Our Plan

Our Plan – Phase wise approach

Phase 1- Review of 5 domains

Timeline- 6 to 8 weeks

- Identify Single Points of Contact (SPOCs) for each domain and release IDR
- Conduct walkthroughs of existing processes
- Collaborate with SPOCs to understand pre-identified gaps and pain points
- Identify additional gaps based on data and process review within scope
- Align finalized gaps with SPOCs and management
- Develop and provide an action plan for gap remediation

Phase 2- Refresh of IFC template & SOPs for the domains

Timeline- 4 weeks

- Review existing IFC templates provided by management across five domains
- Incorporate new controls into the IFC templates based on Phase 1 gaps
- Finalize the IFC templates
- Review existing SOPs and procedure documents
- Identify missing SOP clauses based on process understanding and Phase 1 gaps and update SOP

Phase 3- Gaps remediation and Training to Staff

Timeline- 4 weeks

- Review implementation status of the Phase 1 remediation plan
- Validate whether proposed remediation actions have been effectively executed
- Conduct training sessions for each domain SPOC
- Update SPOCs on identified issues, remediation actions, and revised IFC/SOP templates

Key Deliverables for Phase 1

- **Detailed Gap report for all 5 domains containing the gaps identified and the action plan**

Key Deliverables for Phase 2

- **Updated IFC templates and SOP template for 4 domains (Material & Stores, HR, Cost Accounting, Revenue & Receivables)**

Key Deliverables for Phase 3

- **1-2 training session per domain**
- **Final report for actions taken**
- **Implementation roadmap for long term action items**

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04 Our Credentials

Our Healthcare Clientele

Aster DM Healthcare
Internal Audit

Dr.Reddy's
Internal Audit, Regulatory and Compliance, SOX, Review and Assessment

Akums
Internal Audit, ERM/ Dynamic Risk Assessment

Sabine Hospital & Research Centre
Internal Audit

Cancer Institute (WIA)
Internal Audit

Sahyadri Hospitals
Internal Audit, IFC

RA Chem Pharma Ltd
Internal Audit, Review and Assessment

imshealth
Internal Audit

Indira IVF
Fertility & IVF Centre
Internal Audit, IFC

Abbott
Internal Audit, loan staff

KIMSHEALTH
Internal Audit

La Renon
Internal Audit

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05 Proposed scope

Process review & IFC for the 5 domains

Material & Stores Management

- Review of inventory classification framework — consumables vs. capital assets vs. pharmaceuticals
- Analysis of stock movement records to identify non-consumed, misallocated, lost, and expired items, and determination of root causes
- Assessment of purchase-to-consumption cycle controls — indent, receipt, issue, and reconciliation
- Assessment of item master data integrity and identification of miscoding, misclassification, and data quality issues in stores records
- Improving controls mechanism with measures such as 3 Way matching, procedure level standard costing etc.
- ABC analysis, Stock levels Management, formulary management etc. to ensure the optimum usage and stocking.
- Evaluation of write-off, expiry management, stock take and stock adjustment protocols.

HR & Personnel records

- Review of staff categorization structure such as clinical, paramedical, administrative, and support services
- Identification of duplicate, cross-category, and departmentally ambiguous headcount records
- Assessment of departmental staff mapping accuracy and its impact on cost allocation
- Review of personnel master data completeness, update controls, and version governance
- Process strengthening around statutory and other deductions from Payroll

Cost Accounting & Accounting system

- Review of accounting systems in use — adequacy, configuration, and alignment with operational requirements
- Review of cost center structure and departmental cost allocation methodology
- Disaggregation and classification of costs currently parked under miscellaneous or unanalyzed heads, and implementation of a structured cost head framework
- Rationalization of chart of accounts and cost center mapping, with implementation support
- Assessment and improvement of management reporting inputs for budgeting and P&L purposes.
- Support in cleansing legacy items and establishing better control on control accounts management.

Revenue & Receivables

- Revenue Recognition controls and adequate framework incorporating all IND-AS and other statutory requirements.
- Proper Reconciliation controls
- Automated billing with minimal manual intervention.
- Discount approvals
- Proper tracking mechanism for Insurance/Scheme/corporate/bond billing
- Proper ageing controls
- Any other relevant points

Data Governance & Control Framework

- Assessment of current record-keeping practices and design of a fit-for-purpose data governance framework
- Implementation of maker-checker, approval, and exception-handling controls across all three domains
- Establishment of data ownership, validation protocols, and ongoing maintenance procedures.
- Enhancing master level and database controls
- Maintenance of Proper Audit trail
- Restriction of back dated entries/postings

Exclusions: Clinical governance, patient safety accreditation audit. IT system implementation or ERP selection

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Illustrative risk for each domain

Material and Stores management	HR & Personnel records	Cost Accounting & Accounting system	Revenue & receivables	Data governance & control framework
• Incorrect classification of consumables vs capex assets • Expired items continue to remain in usable inventory • Inventory leakages due to manual issue process • Goods receipt done without physical verification • GRN mismatch with PO and invoice • Duplicate SKUs / item codes • Invoice processed without PO/GRN match • Vendor overbilling not detected • Rate variance not analyzed • Procurement fraud risk through bypass controls • High-value critical items not monitored separately • Manipulation of stock variance during period close	• Duplicate employee IDs • Ghost employees in payroll • Same employee mapped to multiple departments • Incomplete employee master records • Missing joining / exit updates • Incorrect salary structure fields • Incorrect statutory deductions (PF, PT, TDS, ESI) • Unauthorized payroll adjustments • Missed recovery of notice pay / loans • Incorrect bonus / incentive payouts • Compliance risk in labor law deductions	• Inadequate maker-checker in accounting entries • Manual journal dependency causing errors • Limited audit trail in accounting system • Excessive costs parked in “miscellaneous” • Temporary cost heads becoming permanent • GLs mapped to wrong cost centers • Duplicate expense heads • Non-standard chart of accounts across units • Wrong cost absorption into procedures/packages • Vendor / employee advances not cleared • Control account reconciliation gaps	• Revenue recognized before service completion • Incorrect split between IPD/OPD/pharmacy/diagnostics • Contractual discounts not adjusted properly • Bank receipts not adjusted against invoices • HIS vs ERP reconciliation gaps • Billing vs collections mismatch • Fraud risk through front-office discount override • Delayed submission of insurance claims • Incorrect package codes used • Underbilling to TPAs/corporates • Fraud risk in receivable settlements	• Same user creating and approving entries • Segregation of duties conflicts • Exception reports not reviewed • High manual dependency in corrections • Unauthorized master changes • Validation rules absent at entry level • Duplicate patient/vendor/item masters • No periodic data cleansing • Weak password and privileged access controls • Inactive users remain active • Inadequate backup controls • Deletion of records without approval • Revenue or expense manipulation through backdated postings

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06 Project timelines

Project Timeline – Phase 1- 6 to 8 weeks

Sl.No	Activity	Working Week(s)								
		0	1	2	3	4	5	6	7	8
1	Kick off meeting									
2	Circulation of initial data requirement									
3	Receipt of data from the process owners									
4	Process understanding and system walkthrough									
5	Discuss with SPOCs on the pre identified gaps									
6	Identification of new gaps basis process and data review									
7	Discussion of gaps with SPOC and management									
8	Providing recommendation for the identified gaps									
9	Release of draft and final report containing the gaps identified and the action plan									

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Project Timeline – Phase 2 and 3 - 8 weeks

Sl.No	Activity	Working Week(s)								
		0	1	2	3	4	5	6	7	8
1	Review implementation status of the gaps noted in Phase 1 and check whether proposed remediation has been executed									
2	Circulate data request for existing SOP and IFC template									
3	Receipt and review of existing SOP and IFC template									
4	Highlight missing clauses in the existing SOP									
5	Add new controls in IFC template and finalize the template									
6	Conduct training sessions with each domain SPOC									
7	Discuss and release final report for the actions taken									
8	Implement roadmap for the long-term action items									

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07
Our Team

Our Team

Ritesh Tiwari

Partner and Head,
GRCS

Adequate time involvement of leadership team to provide insights to the engagement team for quality delivery and timely release of report.

Core Team

Vikash Somani
Partner, GRCS

Nikhil Hatti
Director, GRCS

Vineet Jaiswal
Manager, GRCS

Baby Paul

Relationship Partner

Engagement Partner will be responsible for overall quality deliverables of engagements and presentation to the board.

Project Management team will be responsible for managing relationships and ensuring overall adherence to timelines. He / She shall involve subject matter experts on the engagement. He / She will be responsible for project management, planning, scheduling, supervision & participating in key meetings.

Project execution team will have a pool of resource who are fluent in Malayalam language. Also, these resource will be qualified and will have prior experience of process review and IFC testing

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08 Proposed Fees

Proposed Fees

- We are delighted to present KPMG's proposal for assisting you on this engagement. It is KPMG's intention to strengthen our business relationship with **VPS Lakeshore Hospital** and to provide the highest quality professional service to you for a reasonable fee. We believe our rates are competitive, and we strive to maintain fees that are consistent with quality professional services.

- **VPS Lakeshore Hospital** is an important client to our firm, and we intend to enter into a strategic long-term partnership with you. This has been a key consideration in proposing our fee. Our objective is to provide outstanding service at reasonable cost. Commensurate with the level of experience and effort required to complete the work, we propose a following fee:

Particulars	Fee (INR Lacs)
Process Transformation review for 5 domains [Includes gap identification, remediation, training, IFC and SOP templates review]	**INR 26.5 lakhs**

- This professional-fee will be payable by you to us as per the following schedule:
  - 30% advance on signing of Engagement Letter
  - 30% on completion of Phase 1
  - 20% on completion of Phase 2
  - 20% on completion of Phase 3

  Invoices will be presented as per the above schedule and are payable on presentation.

- We would charge 5% of total engagement fee towards technology charges. These charges pertain to the technology platforms, licenses etc. used by us in order to serve you.

- All out-of-pocket expenses (OPEs) such as local conveyance, travel and other expenses necessarily incurred while engaged on this engagement shall be billed to you separately at cost. We will endeavor to keep all out-of-pocket expenses within reasonable limits.

- In addition to the fees charged by us, GST as applicable shall be payable by you. Any tax, duty, cess or other Government instituted levies that may become applicable to any/all of the transactions underlying this engagement, the same shall be payable in addition to the fees charged by us herein above.

- If we expect additional time costs to be incurred as a result of any change in the scope of work, or difficulties in obtaining information and which is expected to cause additional work, we will discuss the matter of incremental fees with you promptly.

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Engagement Contract

This document is an offer by KPMG to provide the proposed services and is in all respects subject to our internal risk approvals, negotiation, agreement and signing of a specific engagement contract with KPMG and satisfactory completion of KPMG client and engagement acceptance procedures. Further, The services hereunder, are not intended to be an audit, certification, examination, attestation, special report or agreed-upon procedures.

Disclaimer: This non-binding proposal is in all respects subject to the negotiation, agreement, and signing of a specific engagement letter or contract including agreement of the scope of services and to the satisfactory completion by KPMG Assurance & Consulting Services LLP of applicable client and engagement acceptance procedures, including independence and conflict of interest checks and, where applicable, audit committee / board of directors approval.

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Way Forward

We are eager to have an opportunity to discuss the proposal with you to address any queries or provide additional information that may be required.

For further information please contact:

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Thank You

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This non-binding proposal is in all respects subject to the negotiation, agreement, and signing of a specific engagement letter or contract including agreement of the scope of services and to the satisfactory completion KPMG Assurance & Consulting Services LLP of applicable client and engagement acceptance procedures, including independence and conflict of interest checks and, where applicable, audit committee / board of directors' approval

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